

Multiple Choice

1. **Answer:** B

Options: A) Differentiation.; B) Cost leadership.; C) Focus strategy.; D) Branding strategy.; E) Growth strategy.

Note: The correct answer is cost leadership because it enables an organization to minimize production and operational costs, allowing them to offer standard products at competitive prices while maintaining higher profit margins than competitors.

2. **Answer:** D

Options: A) \$1.18; B) \$352,579; C) \$2.84; D) \$3.35

Note: The millinerate is calculated by taking the cost per agate line (1.18) *and multiplying it by the number of lines* reflecting the total cost to run a full column of text in the publication.

3. **Answer:** A

Options: A) 3%; B) 6.5%; C) 7%; D) 4.75%; E) 4.5%

Note: The correct answer is 3% because the discount amount of 11(2400 - \$2389) over the 30-day period represents a rate of 3% when calculated as a percentage of the face value of the note.

4. **Answer:** A

Options: A) \$48.90; B) \$40.05; C) \$35.50; D) \$75.20; E) \$10.00

Note: The correct answer of \$48.90 reflects the increased risk and higher premiums associated with purchasing a life insurance policy at age 30 compared to age 20, as insurance costs typically rise with age due to the greater likelihood of mortality.

5. **Answer:** B

Options: A) Corporate liability, Corporate effect, Stakeholder; B) Corporate rights, Corporate effect, Stakeholder; C) Corporate rights, Corporate effect, Shareholder; D) Corporate responsibility, Corporate effect, Shareholder; E) Corporate rights, Corporate liability, Shareholder

Note: The correct answer is "Corporate rights, Corporate effect, Stakeholder" because Evan and Freeman's principles emphasize the importance of recognizing both the rights of corporations and the impact of corporate actions on various stakeholders, which together help define who qualifies as a stakeholder in business contexts.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: Contextual advertising primarily relies on real-time content analysis to match ads with the content of the webpage rather than solely on demographic data.

7. **Answer:** False

Options: A) True; B) False

Note: Mass communication primarily relies on broad media outreach strategies to effectively reach and educate large audiences rather than depending solely on individual interactions.

8. **Answer:** False

Options: A) True; B) False

Note: The Operant Conditioning theory emphasizes that behavior is shaped by reinforcement and punishment rather than social values and personal beliefs.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the difference in insurance premiums for properties in Class A and Class B towns is calculated based on risk factors, with the specific difference of 7.20 for a 24,000 house reflecting the varying levels of risk associated with each class.

10. **Answer:** True

Options: A) True; B) False

Note: Transactional leaders are characterized by their focus on structured tasks and rewards, which enables them to effectively guide, mentor, and motivate team members to achieve specific goals.

Long Form Response

11. **Answer:** Miss Florence Parrish's compensation structure includes a fixed salary combined with a commission based on her sales performance. For January, if her sales generated a total of \$380.80, this figure represents her total earnings for that month. This compensation model incentivizes high performance, as her earnings directly correlate with her sales success. Such a structure can motivate sales personnel to exceed targets, but it may also introduce pressure to prioritize short-term sales over long-term customer relationships. Overall, it highlights the importance of aligning compensation with desired outcomes in sales roles.

Note: correct because it accurately describes Miss Parrish's compensation structure as a combination of fixed salary and commission, calculates her total earnings based on sales performance, and discusses the implications of this model in motivating sales personnel while also acknowledging potential pressures it may create.

12. **Answer:** Ms. Edwards' financial situation reveals a marginal propensity to consume (MPC) of 0.75 and a marginal propensity to save (MPS) of 0.25. This indicates that for every additional dollar of income she receives, she spends 75 cents and saves 25 cents. The high MPC suggests that Ms. Edwards is likely to prioritize consumption over savings, which could stimulate economic activity through increased demand for goods and services. Conversely, the MPS indicates that she is also setting aside a portion

of her income for future needs, reflecting a balanced approach to her financial management. Overall, these figures highlight her tendency towards consumption-driven economic behavior while still maintaining a degree of savings for financial security.

Note: correct because it accurately calculates Ms. Edwards' marginal propensity to consume and save, demonstrating her consumption behavior and its potential impact on economic activity and savings.

End of Answer Key